# KERALA STATE ELECTRICITY REGULATORY COMMISSION

## THIRUVANANTHAPURAM

## Petition No: OP 60/2025

**Present : Sri T K Jose, Chairman**
**Sri. B Pradeep, Member**

| | | |
|---|---|---|
| In the matter of | : | Petition for approval of Truing Up of accounts for the financial year 2024-25. |
| Petitioner | : | M/s Kanan Devan Hills Plantations Company Private Limited (KDHPCL) |
| Represented by | : | Sri. Sachin Prabhu, Manager (Finance) KDHPCL<br>Sri. Emil.S, Deputy Manager (Finance) KDHPCL<br>Sri. R. Jayaraman, Consultant, KDHPCL |
| Respondent | : | M/s Kerala State Electricity Board Limited |
| Represented by | : | Sri.Shan B.S, Asst. Executive Engineer, TRAC, KSEB Ltd<br>Smt.Seetha Lekshmi, SA, TRAC, KSEB Ltd |
| Date of hearing | : | 04.02.2026 at the Court Hall, Office of the Commission |

**Order Dated 25.02.2026**

1. M/s Kanan Devan Hill Plantations Company Private Limited (hereinafter referred to as KDHPCL, the petitioner or the licensee) is the distribution licensee supplying electricity in its license area at Munnar. KDHPCL procures electricity from KSEB Ltd for supply to its consumers and for its own consumption.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. The licensee has filed the petition for truing up of accounts for the year 2024-25 as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations 2021. The present petition is for the third year of the Control Period. The Commission vide Order in OP No 28/2022 dated 26.02.2024 has approved the ARR&ERC for the Control Period. Later the Commission vide Order dated 26.11.2025 approved the revised ARR & ERC for the MYT period based on the petition for Mid Term Performance Review and Revised ARR & ERC for the MYT Control period 2022-23 to 2026-27. In the petition for truing up the accounts based on audited accounts, the licensee has claimed **a revenue gap of Rs.18.81 lakh** compared to revenue surplus of Rs.17.98 lakh approved by the Commission in the Revised ARR&ERC Order.

3. A comparison of the claim made in the present petition with the Revised ARR&ERC figures for the year 2024-25 approved by the Commission is tabulated below.

**Table 1**
**Comparison of ARR&ERC 2024-25 (Rs. Lakh)**

| Particulars | 2024-25 | | |
|---|---|---|---|
| | Revised ARR&ERC Projected | Revised ARR&ERC Approved | Truing Up petition |
| Power purchase cost | 3,434.48 | 3491.65 | 3418.52 |
| Employee Expenses | 254.83 | 182.75 | 233.67 |
| Administration & General Expenses | 20.80 | 15.14 | 23.30 |
| Repair & Maintenance Expenses | 51.15 | 45.83 | 51.17 |
| Depreciation | 14.56 | 13.74 | 14.50 |
| Interest on Working Capital and finance charges | 86.35 | 66.72 | 71.19 |
| Other debits | 32.36 | 0.33 | 32.36 |
| Return on Net Fixed Assets | 7.03 | 6.40 | 5.63 |
| **Total Expenditure/ARR** | **3,901.56** | **3822.56** | **3850.34** |
| Revenue from Sale of Power | 3,726.46 | 3726.46 | 3707.46 |
| Other income | 114.08 | 114.08 | 124.07 |
| **Total Income/ERC** | **3,840.54** | **3840.54** | **3831.53** |
| **Revenue (Gap)/Surplus** | **(61.02)** | **17.98** | **(18.81)** |

**Table 2**
**Comparison of Income and Expenditure for the previous years (Rs. lakh)**

| Particulars | 2022-23 | | 2023-24 | | 2024-25 |
|---|---|---|---|---|---|
| | Truing Up petition | Trued Up | Truing Up petition | Trued Up | Truing Up petition |
| Power purchase cost | 3161.70 | 3163.37 | 3370.52 | 3370.52 | 3418.52 |
| Employee Expenses | 179.80 | 171.67 | 216.32 | 177.52 | 233.67 |
| Administration & General Expenses | 30.50 | 19.37 | 18.90 | 17.12 | 23.30 |
| Repair & Maintenance Expenses | 57.54 | 43.06 | 49.74 | 44.53 | 51.17 |
| Depreciation | 13.11 | 12.18 | 15.24 | 13.74 | 14.50 |
| Interest on Working Capital and finance charges | 59.62 | 50.12 | 71.46 | 64.32 | 71.19 |
| Other debits | 18.07 | 1.22 | 18.54 | 1.29 | 32.36 |
| Return on Net Fixed Assets | 5.76 | 7.03 | 5.71 | 5.23 | 5.63 |
| **Total Expenditure/ARR** | **3526.10** | **3468.02** | **3766.43** | **3694.27** | **3850.34** |
| Revenue from Sale of Power | 3508.93 | 3508.93 | 3721.56 | 3721.56 | 3707.46 |
| Other income | 64.69 | 76.00 | 109.63 | 108.81 | 124.07 |
| **Total Income/ERC** | **3573.62** | **3584.93** | **3831.19** | **3830.37** | **3831.53** |
| **Revenue (Gap)/Surplus** | **47.52** | **116.91** | **64.76** | **136.10** | **(18.81)** |

4. The Commission admitted the petition as **OP No. 60/2025.**

## Public Hearing on the Petition

5. The hearing on the petition for the Truing Up of Accounts for the year 2024-25 was conducted at the Court Hall, Office of the Commission on 04-02-2026. The licensee was represented by Sri. Sachin Prabhu, Manager (Finance), Sri. Emil.S, Deputy Manager (Finance) and Sri. R. Jayaraman, Consultant of KDHPCL. Sri. Sachin Prabhu presented details on the petition and responded to the queries of the Commission.

6. The main points made by the licensee are:

   a. The total number of consumers for 2024-25 is 16622 and the actual sale for the year is 491.10 lakh units.
   b. The energy purchased from KSEB Ltd is 548.83 lakh units and the KSEB Energy Feedback is 57.50 lakh units. The Gross energy in the system during the year 2024-25 is 606.33 lakh units
   c. The overall distribution loss for the year 2024-25 is 9.52% and the actual cost for the purchase of 548.83 lakh units is Rs.3418.52 lakh.
   d. The Commission while approving the norms in the Tariff Regulations 2021 had approved the Operation and Maintenance Expense at Rs.243.72 lakh. The licensee in the petition has claimed total operation and maintenance expense of Rs.308.14 lakh.
   e. The Employee cost claimed for the year 2024-25 is higher than the norms approved by the Commission. The claim for the year is Rs.233.67 lakh as against the approved employee cost of Rs.182.75 lakh.
   f. The actual R&M expense for the year is Rs.51.17 lakh, which is higher than the approved R&M of Rs.45.83 lakh for the year.
   g. The A&G expenses claimed for the year is Rs.23.30 lakh as against the approved amount of Rs.15.14 lakh. The major amounts booked are Rent Rates & Taxes, legal charges, Audit fees, Conveyance and vehicle hire charges etc.
   h. The licensee during 2024-25 has made an asset addition of Rs.1.52 lakh, out of which Rs.1.05 lakh is towards IT Equipment.
   i. The licensee has claimed depreciation of Rs.14.50 lakh for 2024-25.
   j. The interest and finance charges claimed for 2024-25 of Rs. 71.19 lakh which includes interest on security deposits and the Bank Charges on Bank Guarantee/L.C to KSEB Ltd.
   k. An amount of Rs.32.36 lakh has been claimed as other debits which include Section 3(1) Duty under the Kerala Electricity Duty Act, periodical inspection charges and provision for doubtful debts.
   l. The licensee has claimed Rs.5.63 lakh as return on net fixed assets at the beginning of the year 2024-25 @ 5.50%

m. The total expenditure incurred in 2024-25 is Rs.3850.34 lakh.
n. The Revenue from the sale of 491.10 lakh units in 2024-25 is Rs.3707.46 lakh.
o. The Non-Tariff Income claimed by the licensee is Rs.124.07 lakh which is miscellaneous recoveries and interest on accumulated regulatory surplus.
p. The total revenue for the year 2024-25 is Rs.3831.53 lakh.
q. The petition for the truing up of accounts for the year 2024-25 is submitted with a revenue gap of Rs.18.81 lakh.

7. KSEB Ltd submitted the following comments on the petition;

a. The distribution loss approved in the ARR Order is 9.10%, whereas the licensee has claimed 9.52% in the present petition. As the licensee has not restricted the distribution loss to the approved level, the Commission may consider limiting the distribution loss to 9.10% and approve the energy requirement for FY 2024-25 accordingly.
b. Petition does not include month-wise demand and consumption details used for computing the FY power requirement and hence correlation with KSEBL records is not possible. The licensee may be directed to submit the month wise demand and consumption details.
c. It is seen that more than 80% of the total employee cost is allocated to distribution business alone, even though these employees are also being engaged in other works. Justification for this higher allocation is not provided in the petition.
d. Similarly, R&M and A&G expenses claimed is also much higher than the approved amounts in the ARR&ERC Order.
e. The petitioner claimed Rs.4.44 lakh as legal expenses for appeals before APTEL, but the Commission has consistently disallowed such expenses in A&G unless court-ordered, and the same approach is expected here. A&G expenses increased mainly due to printing, stationery, miscellaneous, and travel costs, while lack of details on security personnel prevented verification of business relevance. As per Tariff Regulation 2021, O&M expenses should be escalated based on actual inflation; with 3.05% inflation in FY 2024-25, the licensee is eligible for escalation on Rs.243.99 lakh.
f. The other income in the truing petition is Rs.69.14 lakh as against the approves Rs.36.55 lakh in the ARR Order.
g. The Commission had approved Rs.61.50 lakh of capital expenditure for the year 2024-25. The licensee has only claimed Rs.1.52 lakh in the truing up petition. No reconductoring works are found to be undertaken by the licensee, neither in this financial year nor during the last financial year, which may be helpful for voltage improvement and reduction in line loss.
h. Prudence check on assets and its corresponding depreciation is essential.

i. The licensee has claimed Rs.4.23 lakh towards bank guarantee charges furnished to KSEBL as per the directions of the Hon'ble Supreme Court in Civil Appeal No. 2144/2011 relating to BST revision. However, the Commission, in earlier true-up orders including 2017-18, 2019-20 and 2023-24, has consistently directed that such bank guarantee charges shall not be included in allowable expenses. Accordingly, the Commission may take a similar view in the present petition.

j. The interest on working capital claimed maybe recalculated based on the approved O&M expense.

k. The Commission had directed the licensee to conduct an age-wise analysis of receivables, take steps to realise dues, and write off bad and uncollectable amounts against existing provisions, failing which further provisions would not be allowed. In the true-up order, the Commission disallowed the claim of Rs.2.51 lakh towards provision for doubtful debts, as no amount was actually written off as bad debt during the year and the claim was only a provision. Accordingly, the Commission may adopt a similar approach in the present petition.

l. The normative loan as on 01.04.2024 is taken as Rs.73.01 lakh after subtracting Rs.61.21 lakh as per the truing up order of 2023-24.

m. Licensee has considered Rs.7.89 lakh only in the true up claim, but as per the truing up order for the FY 2023-24 it was Rs.14.96 lakh. The Commission may kindly note the difference.

8. The licensee vide letter dated 16.02.2026 has submitted responses to the clarification sought during the hearing by the Commission and the respondent KSEB Ltd.

## Analysis and decision of the Commission

9. The Commission has carefully considered the petition for Truing Up of Accounts for the year 2024-25, the clarifications submitted by the licensee, the counter statements furnished by KSEB Ltd, the views presented by the licensee during the hearing and additional clarifications submitted by the licensee. The analysis and decisions of the Commission on the petition for truing up of accounts for the Financial Year 2024-25 are detailed below:

## Energy sales and consumer mix

10. As per the petition, the total number of consumers is 16622 and the actual sale for the year is 491.10 lakh units. The licensee in the petition for approval of Mid Term Performance Review and Revised ARR&ERC had claimed full year provisional sales of 494.10 lakh units and the number of consumers was

16622, which the Commission had approved. During the year 2023-24, the total number of consumers is 17252 and the actual sale for the year is 507.90 lakh units. Compared to the previous year, there is a decrease of 630 consumers and 16.80 lakh units. In this regard, the licensee has submitted that the reduction in the number of Domestic consumers is primarily due to the movement of seasonal temporary workers to/from Munnar. These consumers generally move in and out of the area in batches, which results in periodic fluctuations in the consumer base. Major sale of the licensee is towards the HT I A Industrial consumers. The comparison of the number of consumers and the total sale of power are given below.

**Table 3**
**Energy Sales and No. of Consumers for 2023-24 and 2024-25**

| Particulars | Trued Up 2023-24 | | Truing Up 2024-25 | |
|---|---|---|---|---|
| | No. of Consumers | Sales (lakh units) | No. of Consumers | Sales (lakh units) |
| HT I A Industrial | 22 | 334.50 | 22 | 310.80 |
| HT I B Industrial | 1 | 0.30 | 1 | 0.70 |
| HT II General | 3 | 4.40 | 2 | 3.80 |
| HT III Agriculture | 2 | 3.50 | 2 | 3.70 |
| HT IV Commercial | 9 | 20.40 | 9 | 21.50 |
| LT I Domestic | 14536 | 79.30 | 14017 | 81.00 |
| LT IV Industries | 97 | 5.20 | 92 | 4.00 |
| LT V Agriculture | 6 | 0.10 | 6 | 0.20 |
| LT VI Non-Domestic | 981 | 17.80 | 951 | 18.40 |
| LT VII Commercial | 1325 | 38.20 | 1242 | 38.90 |
| Street Lighting | 266 | 4.10 | 267 | 4.30 |
| LT TOD Tariff | 4 | 0.10 | 5 | 0.20 |
| LT IX (Public lighting) | | | 1 | - |
| LT X Charging Stations | | | 1 | 0.10 |
| LT IV A Demand Based | | | 1 | 1.80 |
| LT VII A Demand Based | | | 3 | 1.70 |
| **Total** | **17252** | **507.90** | **16622** | **491.10** |

11. The licensee in the current petition has stated that, the decrease in units sold is mainly due to decrease in consumption by HT Consumers, mainly seasonal tea factories by 23.00 lakh units as the production in the area during the year was significantly lower compared to previous year. The licensee has submitted clarifications regarding the variation in the proposed sales units as compared to the claim made by the licensee in the MPR petition and stated that, the variation is on account of adjustment of units generated from own power plant and used. ***The Commission has analysed the details submitted by the licensee and hereby approves the actual sale of 491.10 lakh units as claimed by the licensee.***

## Energy Requirement and Distribution Loss

12. As per Regulation 73, the licensee in the petition for approval of ARR&ERC had to provide voltage level distribution loss and distribution loss reduction trajectory for the Control Period with supporting studies and the Commission has to approve the target level of losses based on the opening level of losses, the figures filed by licensee and other relevant factors. The licensee had not proposed distribution loss reduction targets for the control period instead estimated a distribution loss of 10.00% for the control period. Distribution loss being a controllable parameter which is having direct impact on power purchase cost and available energy for distribution; it is a criterion that the licensees should continuously strive to improve upon, the Commission had approved a distribution loss of 9.10% for the year 2024-25 while approving the ARR & ERC Order dated 26.02.2024.

13. Subsequently, in the Mid-Term Performance Review petition, the licensee reported a distribution loss of 9.07% for the year 2024–25. As the claimed loss was lower than the level approved earlier, the Commission approved a distribution loss of 9.07% for the year 2024–25.The licensee in the truing up petition has claimed the distribution loss of 9.52% which is higher than the distribution target of 9.07% approved in the MPR Order for the year.

14. Feedback energy of KSEB Ltd wheeled through the licensee's system is 57.50 lakh units. Feedback is the energy wheeled through the system of KDHPCL for the consumers of KSEB Ltd. Since the feedback is wheeled through the distribution lines of KDHPCL, the same is considered for the computation of distribution loss. It is seen that the distribution loss claimed for the year 2024-25 is higher than the previous year. The distribution loss and energy requirement for the year 2024-25 compared to previous years is tabulated below:

**Table 4**
**Comparison of Distribution loss and energy requirement**

| Particulars | 2022-23 | | 2023-24 | | 2024-25 |
|---|---|---|---|---|---|
| | For Truing up | Trued Up | For Truing up | Trued Up | For Truing up |
| Energy purchased (In lakh Units) | 541.20 | 541.63 | 566.94 | 565.92 | 548.83 |
| KSEB Energy Feedback (In lakh Units) | 49.30 | 49.30 | 54.59 | 54.59 | 57.50 |
| **Gross energy in the system (In lakh Units)** | **590.50** | **590.93** | **621.53** | **620.51** | **606.33** |
| Energy Sales (In lakh Units) | 484.90 | 484.90 | 507.90 | 507.90 | 491.10 |
| Distribution loss (In lakh Units) | 56.30 | 56.73 | 58.99 | 58.02 | 57.73 |
| **Distribution loss %** | **9.53%** | **9.60%** | **9.49%** | **9.35%** | **9.52%** |

15. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved

level of the distribution loss. The relevant portions of the Regulation are as shown below:

*73. Distribution loss...*

*.....*

*(3) Any variation between the actual level of distribution loss and the approved level of the distribution losses shall be dealt with, as part of the truing up of the respective financial year in the following manner:-*

*i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year shall be disallowed at the average cost of power purchase for the respective financial year;*

*ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1*

16. As per Regulation 73, distribution loss is a controllable item, and its reduction is an efficiency parameter. Hence, the licensee has to take earnest efforts to limit the distribution loss to the approved level or better it. ***Accordingly, the Commission is of the considered view that the distribution loss for the year 2024-25 is to be limited at the approved level of 9.07% and considering the same, the approved energy requirement for the year 2024-25 as shown below****:*

**Table 5**
**Approved Energy input & Distribution Loss for the year 2024-25**

| Particulars | Approved in MPR | As per Truing up petition | Trued up |
|---|---|---|---|
| Energy Sales (lakh units) (1) | 493.80 | 491.10 | 491.10 |
| KSEB Ltd Energy Feedback (lakh units) (2) | 57.50 | 57.50 | 57.50 |
| Total Energy Output (lakh Units) (1+2) | 551.30 | 548.60 | 548.60 |
| **Distribution Loss (%)** | **9.07%** | **9.52%** | **9.07%** |
| Distribution Loss (lakh Units) | 55.00 | 57.73 | 54.72 |
| **Gross energy in to the system (lakh units)** | **606.30** | **606.33** | **603.32** |
| KSEB Ltd Energy Feedback (lakh units) | 57.50 | 57.50 | 57.50 |
| **Energy purchase from KSEB Ltd (lakh units)** | **548.80** | **548.83** | **545.82** |

## Power purchase cost

17. The licensee has incurred Rs.3434.48 lakh for 548.83 lakh units purchased from KSEB Ltd. As per the details given, the cost includes excess demand charges of Rs.30.61 lakh. The payment is the penal charge paid by the licensee for the energy purchased over and above the contract demand. The average power

purchase cost for the year is Rs.6.26/unit. The details of Power Purchase cost is tabulated below:

**Table 6**
**Details of the cost of power purchase for 2024-25**

| Particulars | 2024-25 |
|---|---|
| Total Consumption in lakh units | 606.33 |
| Less: Feed Back to KSEB in lakh units | 57.50 |
| **Billed Units** | **548.83** |
| Demand Charges (Rs. lakh) | 479.23 |
| Excess Demand Charges (Rs. lakh) | 30.61 |
| Energy Cost (Rs. lakh) | 2924.64 |
| **Total Power purchase cost (Rs. lakh)** | **3,434.48** |
| Average power purchase Cost (Rs. /kWh) | 6.26 |

18. As seen from Table 6 above, the power purchase cost incurred by the licensee for the year 2024-25 is Rs.3434.48 lakh. In the power purchase cost, the licensee has included Rs.30.61 lakh as excess demand charges. The Commission noted that, the licensee is consistently exceeding the contract demand, which results in payment of excess demand charges to KSEB Ltd during past years. While issuing the truing up Order for the year 2023-24 also, the Commission directed the licensee to either review the existing contract demand and take necessary steps to increase the contract demand or examine the demand pattern of its consumers and manage the load within the contract demand. It is seen that the excess demand charges have increased to Rs.30.61 lakh from Rs.6.57 lakh in the previous year. The claiming of excess demand charges without taking necessary steps to increasing the contract demand is not a prudent practice. Commission takes note of the claim and reiterates that the licensee shall take immediate steps to address the matter.

19. The licensee vide clarifications dated 16.02.2026 has submitted that the difference in power purchase cost as per records of KSEB Ltd is primarily attributable to fuel surcharges and statutory duties, which have been included by KSEB Ltd as part of the purchase cost.

20. As mentioned in previous paragraphs, as per the Tariff Regulations 2021, if the actual distribution loss is higher than the approved level of distribution loss, then the quantum of power purchased corresponding to the excess distribution loss shall be disallowed at the average cost of power purchase. ***Accordingly, the power purchase cost based on the approved distribution loss of 9.07% for the year 2024-25 is as shown below:***

**Table 7**
**Details of approved power purchase cost for 2024-25**

| | | |
|---|---|---|
| 1 | Actual distribution loss (In lakh units) | 57.73 |
| 2 | Approved distribution loss (In lakh units) | 54.72 |
| 3 | Excess distribution loss (lakh units) (1-2) | 3.01 |
| 4 | Average Power Purchase Cost (Rs. per unit) | 6.26 |
| 5 | Excess power purchase cost to be disallowed (Rs. lakh) (4) * (3) | 18.84 |
| 6 | Actual power purchase cost (Rs. lakh) | 3,434.48 |
| 7 | **Approved power purchase cost (Rs. lakh) (6-5)** | **3,415.64** |

## Operation & Maintenance expenses

21. Operation & Maintenance expenses are controllable expenses and include expenses of Employee cost, Repair & Maintenance Expenses and Administrative & General Expenses. Regulation 80 (2) of the Tariff Regulations, 2021, clearly specifies that the distribution licensees shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure 7 of the Regulations. The Commission as per the above Regulation of the Tariff Regulations, 2021 had approved the licensee to recover O&M costs of Rs.243.72 lakh as per norms for the year 2024-25. In the Mid-Term Performance Review Order, the Commission followed the same approach as in the initial ARR Order and approved the revised O&M norms as per the Tariff Regulations, 2021. The licensee in the current petition has claimed total O&M expenses of Rs.332.00 lakh. The Operation and Maintenance expenditure claimed for the year 2024-25 is higher than the norms approved in the Tariff Regulations, 2021. The comparison of O&M expenses for the year 2023-24 and 2024-25 are shown below:

**Table 8**
**Comparison of O&M expenses for 2023-24 and 2024-25 (Rs. lakh)**

| Particulars | 2023-24 | | 2024-25 | |
|---|---|---|---|---|
| | Truing Up petition | Trued Up | Norms | Truing Up petition |
| Employee Expenses | 216.32 | 177.52 | 182.75 | 257.53 |
| A&G Expenses | 18.90 | 17.12 | 15.14 | 23.30 |
| R&M Expenses | 49.74 | 44.53 | 45.83 | 51.17 |
| **Total O&M Expenses** | **284.96** | **239.17** | **243.72** | **332.00** |

22. The Commission has examined the details furnished by the licensee and the claim in the Truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period.

23. The Annexure-7 of Tariff Regulations 2021 specifies, the base year (2021-22) norms as per Table-9 and approved norms (last Table under para 3(iii) of Annexure-7) of the O&M expenses of KDHPCL. The details are given below.

**Table 9**
**O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)**

| Particulars | Base year | Control period | | | | |
|---|---|---|---|---|---|---|
| | 2021-22 | 2022-23 | 2023-24 | 2024-25 | 2025-26 | 2026-27 |
| Employee Cost | 160.35 | 167.50 | 174.96 | 182.75 | 190.89 | 199.39 |
| R&M Expenses | 40.22 | 42.01 | 43.88 | 45.83 | 47.88 | 50.01 |
| A&G Expenses | 13.29 | 13.88 | 14.50 | 15.14 | 15.82 | 16.52 |
| **Total** | **213.86** | **223.39** | **233.34** | **243.73** | **254.59** | **265.93** |

24. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7 permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

*"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)*

1. The O&M costs consist of:
   - *Employee cost;*
   - *Administrative & General (A&G) expenses; and*
   - *Repair & Maintenance (R&M) costs.*

*The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -*

*a) The average of the increase in the CPI & WPI indices, for the 4-year period(2017-18 to 2020 -21), as given in Table- 1 below:*

***Table- 1***
***Computation of Escalation Factors for this MYT Regulation***

| *Sl.No* | ***Escalation factors/ year*** | ***2017-18*** | ***2018-19*** | ***2019-20*** | ***2020-21*** |
|---|---|---|---|---|---|
| *1* | *CPI (Industrial Workers) 2001=100* | *284.42* | *299.90* | *322.50* | *338.69* |
| *2* | *Annual CPI increase %* | *3.08* | *5.44* | *7.54* | *5.02* |
| *3* | *WPI (2011-12) series* | *114.90* | *119.80* | *121.80* | *123.40* |
| *4* | *Annual WPI increase %* | *2.96* | *4.26* | *1.67* | *1.31* |
| *5* | *CPI:WPI (70:30) weightage (%)* | *3.04* | *5.09* | *5.78* | *3.91* |
| *6* | *Average 4 Year annual increase@* ***70:30 weightage (%)*** | ***4.454%*** | | | |

*Note:*

*The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.*

*However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."*

25. As discussed in the preceding paragraphs and as specified under Annexure-7 of the Tariff Regulations, 2021, the base year O&M expenses for the Year 2021-22 is Rs.213.86 lakh. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and whole sale price index' is 4.454%. By applying the escalation rate of 4.454% on the O&M expenses of the base year 2021-22, the O&M Expenses for 2024-25 is Rs.243.73 lakh. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for approving the O&M expenses while truing up of the respective years. The actual inflation rate of the year **2024-25 is 3.05%.**

26. Based on the actual escalation of 3.05% in the year 2024-25, the revised O&M expenses of KDHPCL is approved by the Commission considering actual inflation as given below.

**Table 10**
**Revised O&M expenses of KDHPCL approved for the year 2024-25 considering Actual Inflation (Rs. lakh)**

| Particulars | 2023-24 | Control Period- 2024-25 | |
|---|---|---|---|
| | Approved | Actual inflation | O&M Approved |
| Employee Cost | 177.52 | 3.05% | **182.93** |
| R&M Expenses | 44.53 | 3.05% | **45.89** |
| A&G Expenses | 14.72 | 3.05% | **15.17** |
| **Total** | **236.77** | | **243.99** |

## Employee Cost

27. The licensee for the year 2024-25 has claimed an amount of Rs.257.53 lakh as against Rs.182.75 lakh approved in the Order on ARR &ERC and Mid Term Performance Review. During the previous year 2023-24, the licensee had claimed an amount of Rs.216.31 lakh. The Commission after prudence check had approved only Rs.177.52 lakh considering the actual escalation of 3.41%. The details of the claim made by the licensee as compared to the previous year are tabulated below:

**Table 11**
**Comparison of Employee Cost for the year 2023-24 and 2024-25 (Rs. lakh)**

| Particulars | 2023-24 | | 2024-25 | |
|---|---|---|---|---|
| | Truing Up | Trued Up | ARR Approved | Truing Up |
| Basic Salary | 97.99 | **177.52** (Approved based on actual escalation of 3.41%) | **182.75** | 107.44 |
| Dearness Allowance (DA) | 15.41 | | | 21.12 |
| Leave Travel Allowance | 0.50 | | | 0.50 |
| Earned Leave Encashment | 1.78 | | | 1.62 |
| Other Allowances | 8.64 | | | 10.86 |
| Overtime Payment | 48.18 | | | 62.13 |
| Bonus/Ex-Gratia Payments | 2.97 | | | 6.23 |
| Staff welfare expenses | 0.57 | | | 0.66 |
| Provident Fund Contribution | 13.00 | | | 16.58 |
| Salary of Manager & Executive - Electricals | 16.48 | | | 18.25 |
| Share of Directors. Mgmt. Staff Salaries | 10.79 | | | 12.14 |
| **Gross Employee Expenses** | **216.31** | **177.52** | **182.75** | **257.53** |

28. As per the petition, the total number of workers/staff is 60 which include 40 technical staffs. The licensee in the petition has submitted that they have claimed employee expenses for 60 employees out of which 30 employees are located at various estates spread over the license area. The licensee further submitted in the truing up petition that for 25 employees out of the above said 30 employees, only 50% of their cost is charged to the distribution operations. The licensee also submitted that all the employees other than management staff are members of employees' unions and their wage/salary structures are fixed through industry wide triennial wage settlements. The category-wise split up of the employee costs claimed by the licensee is shown below:

**Table 12**
**Category-wise split of the employee cost for 2023-24 and 2024-25**

| Particulars | Actual 2023-24 | | Actual 2024-25 | |
|---|---|---|---|---|
| | No | Rs. Lakh | No | Rs. Lakh |
| Technical Officers | 3 | 21.54 | 3 | 22.01 |
| Switching Station Operations | 3 | 20.58 | 3 | 18.67 |

| | | | | |
|---|---|---|---|---|
| Technical Staff | 40 | 102.84 | 40 | 147.07 |
| Other Workers | 11 | 29.07 | 11 | 30.18 |
| Non-Technical Staff | 3 | 13.73 | 3 | 7.92 |
| Share of Management Staff Expenses | | 27.27 | | 30.38 |
| Other Allowances, Medical & Welfare expense | | 1.29 | | 1.30 |
| **Total** | **60** | **216.32** | **60** | **257.53** |

29. The employee cost has increased by Rs.41.21 lakh compared to the previous year ie., 19.05% higher than the previous year which is attributable to the increase in wages and salaries on account of yearly increments and wage revision including arrears. The licensee in the petition has submitted that there are two types of overtime expenses included in the employee costs which are fixed and variable overtime. Fixed overtime is paid to staff and non-staff category of workers as per Industry-wise Staff settlement purely on their attending to duty and without having to work beyond the office hours. The amount of fixed overtime during the year is Rs.41.89 lakh. Variable Overtime is paid for working beyond normal working hours and weekends, holidays which is required to restore line faults happening after working hours. The variable overtime during the year is Rs.20.24 lakh.

30. The licensee has submitted that, in addition to the regular quarterly DA increase, wages and salaries were revised with effect from 15 January 2023, resulting in a significant rise in employee costs. During the year 2023-24, the Licensee paid wages at the revised rates along with arrears for three months of the previous year, leading to an additional expenditure of Rs.27.21 lakh. It is seen that, while truing up of accounts for the year 2023-24, an amount of Rs.27.21 lakh on account of wage revision was omitted. The licensee in the current petition has claimed the same as shown below:

**Table 13**
**Employee cost claimed (Rs. In lakh)**

| | |
|---|---|
| Employee Expenses as per the audited accounts including the impact of wage revision of Rs.20.91 lakh | 257.53 |
| Allocation of other business | (51.07) |
| Expense on account of wage revision | 27.21 |
| **Total Employee Expense claimed** | **233.67** |

31. ***The Commission examined the details submitted by the licensee and observed that wage revision expenses are admissible in addition to the norm. Therefore, the Commission hereby approves Rs.20.91 lakh as wage revision for the year 2024-25 and Rs.27.21 lakh wage revision for the year 2023-24 as a Prior period expense.***

32. The Commission analysed the details of employee expenses submitted by the licensee and is of the view that, employee cost being a controllable expense may be limited to the approved norms. ***Accordingly, the Commission hereby***

***approves Rs.203.84 lakh based on actual inflation rate for the year 2024-25 as shown in Table 10 above and amount of wage revision (Rs.20.91 lakh) as employee expenses for the year 2024-25. The Commission also approves an amount of Rs.27.21 lakh as wage revision expenses for the year 2023-24 as a Prior period expense.***

## Administration & General Expenses

33. The licensee has claimed A&G expenses higher than the norms fixed by the Commission. As against the norm of Rs.15.14 lakh, the licensee has claimed Rs.23.30 lakh as the actual A&G expenses for the year 2024-25. A comparison of the Administrative and General expenses over the years is tabulated hereunder.

**Table 14**
**Comparison of A&G expenses (Rs. lakh)**

| Particulars | 2022-23 | | 2023-24 | | 2024-25 |
|---|---|---|---|---|---|
| | Truing Up | Trued Up | Truing Up | Trued Up | Truing Up |
| Rent Rates & Taxes | 1.20 | ***19.37*** *(Approved 14.23 based on actual escalation of 7.06% to the base year 2021-22 and 5.14 as energy audit fee)* | 0.32 | ***17.12*** *(Approved 14.72 based on actual escalation 2.40 as energy audit fee)* | 0.09 |
| Insurance | 1.05 | | 0.44 | | 0.49 |
| Legal charges | 10.38 | | 2.01 | | 4.44 |
| Audit Fees | 6.64 | | 3.90 | | 4.20 |
| Travelling expenses | 0.11 | | 0.07 | | 0.15 |
| Conveyance and vehicle hire charges | 1.69 | | 1.12 | | 2.20 |
| Electricity charges | 0.35 | | 0.32 | | 0.35 |
| Printing & Stationery | 1.30 | | 0.92 | | 1.34 |
| Miscellaneous Expenses | 4.93 | | 5.95 | | 6.44 |
| License Fee and other related fee | 0.90 | | 1.06 | | 1.12 |
| Security arrangements | 1.95 | | 2.79 | | 2.46 |
| **Gross A&G Expenses** | **30.50** | **14.96** | **18.90** | **17.12** | **23.30** |

34. As compared to previous year there is an increase in Administration and General expense claimed by the licensee. The licensee in the truing up petition has claimed Rs.4.44 lakh as Legal Charges incurred towards fee and expenses paid to the advocates to file appeal before the Appellate Tribunal for Electricity against the orders of KSERC. The licensee has stated that the legal charges mainly include expenditure incurred by the Petitioner towards legal/professional fees for various litigations related to electricity business at various forums. During the previous year also, the licensee claimed similar expenses and the Commission has taken a consistent stand that the expenses incurred towards legal proceedings cannot be charged to the A&G expenses unless there is an order from the respective Courts regarding payment of costs***. Accordingly, Commission is of the considered stand that the same cannot be considered as part of A&G expenses.***

35. With regard to Audit Fees, the licensee has stated that the expenditure of Rs.4.20 lakh includes Rs.2.00 lakh towards audit fee for statutory audit of electricity accounts by the Statutory Auditor and Rs.2.15 lakh towards energy audit as mandated by BEE (Bureau of Energy Efficiency). The licensee has stated that the miscellaneous expenses of Rs.6.45 lakh mainly includes bata paid to staff/workers as per the terms of employment as reimbursement of cost of conveyance/food incurred as part of execution of duties.

36. A&G expense is a controllable expense and the licensee shall take earnest efforts to limit the expenses with in the approved norms. It is seen that the licensee has claimed an amount of Rs.2.15 lakh as Energy Audit fees which is as mandated by Bureau of Energy Efficiency (BEE). Since the Commission had not considered the costs towards audit fee, while finalizing the norms for the Control period, the same is approved for the year 2024-25 over and above the norm. ***Accordingly, the Commission hereby approves Rs. 17.32 lakh (Rs.15.17 lakh + Rs.2.15 lakh) as the A&G expenses for the year 2024-25 as against Rs.23.30 lakh claimed by the licensee.***

## Repair and Maintenance Expenses

37. The Commission has approved an amount of Rs.45.83 lakh while approving the ARR & ERC and MPR for the year 2024-25. The licensee in the petition has claimed Rs.51.17 lakh for the repair and maintenance of plant and machinery, buildings, vehicles, lines, substations, 11 kV lines & associated works, LT line service etc. The Commission while approving the Order on truing up of accounts for the year 2023-24 had approved an amount of Rs.44.53 lakh as against the claim of Rs.49.74 lakh. The comparison of the R&M expenses over the years is as shown below.

**Table 15**
**Comparison of R&M expenses (Rs. lakh)**

| Particulars | 2022-23 | | 2023-24 | | 2024-25 |
|---|---|---|---|---|---|
| | Truing Up | Trued Up | Truing Up | Trued Up | Truing Up |
| Plant & Machinery | 3.49 | 43.06 Approved based on actual escalation | 0.73 | 44.53 Approved based on actual escalation of 3.41% to the base year 2023-24 | 0.93 |
| Buildings | 0.24 | | 0.29 | | 0.35 |
| Lines & Cable Networks | 36.85 | | 36.00 | | 38.64 |
| Vehicles | 3.89 | | 4.16 | | 4.08 |
| LT Lines, Upkeeps, etc. | 13.07 | | 8.56 | | 7.17 |
| **Gross R&M Expenses** | **57.54** | **43.06** | **49.74** | **44.53** | **51.17** |

38. Compared to previous year there is an increase in R&M expenses. The major expense booked under R&M expenses is towards lines and cable networks (Rs.38.64 lakh), LT lines, upkeeps (Rs.7.17 lakh) etc. The licensee has stated that the expenses for plant and machinery include expenditure incurred by the

Petitioner on the repair, maintenance and upkeep of fire extinguishers, electrical machinery and lighting installations. There is a marginal increase in expenditure by Rs.0.20 lakh during the year which is on account of increase in maintenance to electrical equipment. Also, expenses in Lines & Cable networks includes expenditure incurred by the licensee towards upkeep of network including transformer maintenance, service charges, transformer oil and other upkeep works like undergrowth cutting charges etc. There is an increase in expenditure by Rs.2.64 lakh during the year. This is mainly on account of increase in transformer rewinding costs.

39. The Commission noticed that the various items of expenses incurred for R&M works were of routine maintenance expense and there is no one-time expense which can be allowed over and above the norm. As per the Tariff Regulations, 2021, there is provision for allowing onetime expenses incurred, not in the nature of regular R&M expenses***. Accordingly, considering the actual inflation rate for the year 2024-25, the Commission approves Rs.45.89 lakh as against the Rs.51.17 lakh claimed in the petition.***

## Summary of O&M Expenses approved for 2024-25

40. The summary of O&M expenses approved by the Commission for the year 2023-24 is shown below:

**Table 16**
**O&M expenses approved for 2024-25 (Rs. lakh)**

| Particulars | Norms | Truing Up | Trued Up |
|---|---|---|---|
| Employee Expenses | 182.75 | 257.53 | 203.84 |
| Administration & General Expenses | 15.14 | 23.30 | 17.32 |
| Repair & Maintenance Expenses | 45.83 | 51.17 | 45.89 |
| Prior period employee expense | | | 27.21 |
| **Total O&M Expenses** | **243.72** | **332.00** | **294.26** |

## Asset Addition during the year 2024-25

41. The licensee during the year 2024-25 has made an asset addition of Rs.1.52 lakh, out of which Rs.1.05 lakh is towards Spot billing application purchased on 04.04.2024 and Rs.0.47 lakh towards other items capitalized on 29.08.2024 and 10.09.2024. ***Considering the details furnished by the licensee, the Commission hereby approves the assets addition of Rs.1.52 lakh for the year 2024-25*** subject to the condition that the expenses have to be met from the accumulated regulatory surplus held by the licensee**.** The licensee shall not be eligible for depreciation, return on NFA and other financing costs on the assets created by utilising such surplus as it would result in double payment by the consumers. It is also clarified that this will be subject to the final orders of the Hon'ble Supreme Court on the petitions pending before

it. The Commission directs the licensee to remove the assets replaced from the GFA and the licensee shall not be allowed to recover the remaining value/balance cost of the assets.

## Depreciation

42. The licensee in the petition has claimed depreciation of Rs.14.50 lakh for the year 2024-25 in the straight-line method as per the Tariff Regulations, 2021.

***"27. Depreciation. –***

*(1) Depreciation shall be calculated on the original capital cost of the asset as approvedby the Commission:*

*Provided that, no depreciation shall be allowed on the increase in value of the assets, on account of revaluation of assets:*

*Provided further that the depreciation shall not be allowed on the assets created through consumer contribution, deposit works, capital subsidies and grants.*

*(2) The generation business/ company or transmission business/ licensee or distribution business/ licensee shall be permitted to recover depreciation on the approved capital cost of fixed assets used in their respective business, computed in the following manner:-*

*(i) "depreciation shall be allowed upto a maximum of 90% of the approved capital cost of asset.*

*(ii) depreciation shall be computed annually based on the straight line methodat the rates specified in Annexure 1 to these Regulations for the first thirteenfinancial years from the date of Commercial operation;*

*(iii) the remaining depreciable value as on the thirty first day of March of the financial year ending after a period of thirteen financial years from the dateof Commercial operation shall be spread over the balance useful life of the assets;*

*(iv) the generating business/ company or transmission business/ licensee or distribution business/ licensee, shall file all such details and documentary evidence, as may be required under these Regulations and as may be required by the Commission from time to time, to substantiate the above claims;*

*(v) No depreciation shall be allowed for assets created through consumer contribution, deposit works, capital subsidies and grants;*

*(vi) the salvage value of the fully depreciated asset shall be ten per cent of the allowable capital cost as approved by the Commission;*

*Provided that the salvage value of Information Technology equipment and computer software shall be considered at zero percent of the allowable capital cost.*

*(3) ……..*

*……"*

43. For assets over 13 years, the licensee has stated that depreciation has been allowed at lower rates.

**Table 17**
**Depreciation claimed for the year 2024-25 (Rs. lakh)**

| Asset Group | GFA as at 01.04.23 | Asset Addition | Rate of depreciation | Depreciation |
|---|---|---|---|---|
| **Asset over 13 years** | | | | |
| Transformers | 205.92 | - | 0.97% | 2.00 |
| Distribution lines | 40.16 | - | 0.97% | 0.39 |
| Meters | 25.64 | - | 0.97% | 0.25 |
| IT Equipment | 0.89 | | 0.97% | 0.01 |
| Others | 13.03 | - | 0.35% | 0.05 |
| **Sub-total** | **285.64** | **-** | | **2.70** |
| **Asset below 13** | | | | |
| Transformers | 89.58 | - | 5.28% | 4.73 |
| Meters | 67.91 | - | 9.00% | 6.11 |
| IT Equipment | 3.60 | 1.05 | 15.00% | 0.70 |
| Others | 4.76 | 0.47 | 6.33% | 0.33 |
| **Sub-total** | **165.85** | **1.52** | | **11.87** |
| **Grand Total** | **451.49** | **1.52** | | **14.57** |
| As per audited | | | | 14.50 |
| **Excess depreciation** | | | | **0.07** |

44. The licensee in the petition has submitted the details of the fixed assets along with the petition. As mentioned in para 38, the assets addition of Rs.1.52 lakh for the year 2024-25 being approved and to be met from the accumulated regulatory surplus, the licensee shall not be eligible for depreciation and other financing costs as it would result in double payment by the consumers. Accordingly, the depreciation approved for the year 2024-25 is tabulated below;

**Table 18**
**Depreciation approved for the year 2024-25 (Rs. lakh)**

| Asset Group | Rate of depreciation | GFA | Depreciation |
|---|---|---|---|
| **Asset over 13 years** | | | |
| Transformers | 0.97% | 205.92 | 2.00 |
| Distribution lines | 0.97% | 40.16 | 0.39 |
| Meters | 0.97% | 25.64 | 0.25 |
| IT Equipment | 0.97% | 0.89 | 0.01 |
| Others | 0.35% | 13.03 | 0.05 |
| **Sub-total** | | **285.64** | **2.70** |
| **Asset below 13 years** | | | |
| Transformers | 5.28% | 86.40 | 4.56 |
| Meters | 9.00% | 61.57 | 5.54 |
| IT Equipment | 15.00% | 3.60 | 0.54 |
| Others | 6.33% | 2.48 | 0.16 |
| **Sub-total** | | **154.05** | **10.80** |
| **Total** | | **439.69** | **13.50** |
| Asset Addition 2023-24 | | 11.80 | |
| Asset addition 2024-25 | | 1.52 | |
| (Less) Consumer contribution | 5.28% | 14.96 | 0.79 |
| Net Assets and depreciation | | 438.05 | 12.71 |
| **Grand Total** | | **438.05** | **12.71** |

45. ***Accordingly, the Commission hereby approves the depreciation amount of Rs.12.71 lakh after deducting the corresponding depreciation amount of Rs.0.79 lakh for Consumer Contribution (Rs.14.96 lakh) for the year 2024-25.***

## Interest and finance charges

46. The Commission in the Order on ARR & ERC had approved Rs.52.72 lakh as interest and finance charges including interest on normative loan, interest on working capital, interest on security deposits and Bank Charges on Bank Guarantee/L.C to KSEB. Subsequently, in the MPR Order, the Commission had revised the amount as Rs.66.72 lakh towards Interest and Finance Charges for the year 2024-25. The licensee in the petition for Truing Up of accounts has claimed Rs.71.19 lakh as interest and finance charges which includes interest on security deposit, Interest on normative loan, interest on working capital and bank charges. The claim of the licensee is tabulated below:

**Table 19**
**Interest & Finance charges for 2024-25 (Rs. lakh)**

| Particulars | Truing Up |
|---|---|
| Interest on Security Deposits from Customers | 18.93 |
| Bank Charges- On the Bank Guarantee to KSEB as per the direction of the Hon. Supreme Court of India | 4.23 |
| Other Bank Charges including on the Letter of Credit to secure cost of mostly power purchase from KSEB Ltd | 3.30 |
| **As per petition** | **26.46** |
| Interest on Normative Loan | 6.09 |
| Interest on Working capital | 38.64 |
| Total Regulatory Adjustments | **44.73** |
| **Total** | **71.19** |

47. Each of the items claimed under interest and finance charge is examined below.

### a) Interest on normative loan

48. The licensee has in this petition claimed interest on normative loan as shown below.

**Table 20**
**Interest on Normative Loan Claimed 2024-25 (Rs. lakh)**

| Particulars | Truing Up Petition |
|---|---|
| Net Normative loan – Opening (01.04.2024) | 73.01 |
| Increase/Decrease due to ACE/de-capitalization during the year | 1.52 |
| Less - Repayment of Normative Loan during the year | (14.50) |
| Net Normative loan – Closing (31.03.2024) | 60.03 |
| Average Normative Loan during the year | 66.52 |
| Average Base Rate of SBI during the year (%) | 9.15% |
| **Interest on the normative loan for the year** | **6.09** |

49. The licensee has stated that SBI's EBLR as on 1st April 2024 being 9.15% has been adopted for the computation of interest on normative loan. The Commission in the Order on truing up for 2022-23 has worked out the closing normative loan for 2022-23 as Rs.61.21 lakh. The licensee in the current petition has considered the closing normative loan as approved in the previous truing up order and the capital addition approved for the year 2023-24. It is to be noted that, the Commission while approving the capital additions of Rs.11.80 lakh for the year 2023-24 had specified that, the said additions are to be met from the accumulated surplus of the licensee and no depreciation, interest and finance charges or return on NFA can be claimed. Considering this and the depreciation approved in para 42 above the interest on normative loan approved for the year 2024-25 is as shown below:

**Table 21**
**Normative loan approved for 2024-25**

| No | Particulars | (Rs. lakh) |
|---|---|---|
| 1) | **Normative loan at the beginning of the year** | **61.21** |
| 2) | Less: Allowable Depreciation/ Repayment for the year | 12.71 |
| 3) | **Closing Normative loan for the year** | **48.50** |
| 4) | Average Loan for the year (1+3)/2 | **54.86** |
| 5) | Rate of Interest (%) | 9.15* |
| 6) | **Interest on Normative loan for the year** | **5.02** |

**EBLR of SBI as on 01-04-2024*

50. ***Accordingly, the interest on normative loan approved by the Commission for the year 2024-25 is Rs.5.02 lakh.***

**b) Interest on Working Capital**

51. In the licensee's Truing up petition for 2024-25, they have claimed interest on working capital of Rs.38.64 lakh as against the MPR approved amount of Rs.38.40 lakh and the details are shown below.

**Table 22**
**Working capital proposed by the licensee for 2024-25 (Rs. lakh)**

| Particulars | Approved in revised ARR/ERC | Truing up Petition |
|---|---|---|
| O & M Expenses- One month | 20.31 | 25.68 |
| Receivables-2 months | 621.08 | 617.91 |
| Less: security Deposit from consumers | 297.01 | 297.01 |
| Total working Capital | 344.38 | 346.58 |
| Interest rate (%) | 11.15% | *11.15% |
| **Interest on working capital** | **38.40** | **38.64** |

**SBI 1-year EBLR 9.15% on 01-04-2024 plus 2% thereof total 11.15%*

52. As per the Tariff Regulations 2021, Regulation 32 states that interest on working capital for a distribution licensee is to be computed in the following manner. The relevant portion of Regulation 32 is quoted hereunder;

I. *"32. Interest on working capital. – (1) The generation business/company or transmission business/licensee or distribution business/licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under:-*

*.....*

*(v) In the case of distribution business/licensee the working capital shall comprise of:-*

II. *operation and maintenance expenses for one month; plus*

III. *cost of maintenance spares equivalent to one-twelfth of the average of the book value of stores, materials and supplies at the beginning and end of the financial year; plus*

IV. *receivables equal to the expected revenue from sale of electricity for two months at the prevailing tariff:*

*Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from users of the distribution system and consumers shall be reduced while computing the working capital requirement;*

*Provided further that for distribution business/licensees who supply electricity to their consumers on prepaid metering system, no interest on working capital shall be allowed.*

*……..*

*(2) Interest on normative level of working capital as per this Regulation shall be allowed at a rate equal to two percentage higher than the base rate as on the first day of April of the respective financial year, in respect of which the petition for approval of Aggregate Revenue Requirement and determination of tariff is filed"*

53. The licensee has computed Interest on working capital as per the regulation 32 of Tariff Regulation 2021 at a rate equal to 2% higher than the base rate (EBLR) as on the first day of April of the financial year. Based on the approved O&M expenses and revenue from sale of power and the EBLR rate, ***the Commission approves Rs.38.51 lakh as interest on working capital for the year 2024-25 as worked out below:***

**Table 23**
**Interest on Working capital approved for 2024-25**

| Particulars | (Rs. lakh) |
|---|---|
| Approved O & M Expenses for One month (294.26/12) | 24.52 |
| Receivables-2 months Revenue from sale of power (3707.46/12 x 2) | 617.91 |
| Less: Security Deposit from Consumers | 297.01 |
| **Total Working Capital** | **345.42** |
| Interest Rate (%) * | 11.15* |
| **Interest on Working Capital** | **38.51** |

**SBI 1-year EBLR 9.15% on 01-04-2024 plus 2% thereof total 11.15%*

### c) Interest on the security deposit

54. The licensee has submitted that the interest provided on security deposit from consumers at the rate of 6.75% p.a is Rs.18.93 lakh as against approved amount of Rs.20.05 lakh and claimed that as per Regulations 72 of the Kerala Electricity Supply Code 2014, they have to pay to the consumer interest on security deposit at the bank rate. Compared to the previous year, there is increase in interest on security deposit. The licensee submits that while the Supply Code requires payment of interest on consumer security deposits on a pro-rata basis from the date of deposit, the Commission has allowed interest only on the opening balance of such deposits. Although the licensee has complied with the Supply Code by paying interest on a pro-rata basis, interest relating to new consumers and deposit enhancements during the year has not been allowed.

55. The Commission noticed that interest is payable during the current year on the amount of security deposit held at the beginning of the year. Therefore, interest is admissible on the amount of Rs.269.66 lakh being security deposit held as on 01.04.2024. ***After examining the details, the Commission hereby approves Rs.18.20 lakh (Rs.269.66 lakh * 6.75%) being the interest paid on security deposit for the year 2024-25.***

### d) Bank Charges on Bank Guarantee/L.C to KSEB Ltd

56. The licensee has claimed Bank charges amounting to Rs.7.53 lakh for the year 2024-25 out of which Rs.3.30 lakh is relating to the Letter of Credit issued in favour of KSEB Ltd to secure monthly power purchase bills and Rs.4.23 lakh is towards Bank Guarantee provided to KSEB Ltd as per the directions of the Hon. Supreme Court of India in civil appeal 2144/2011. The split up of the claim is shown below.

**Table 24**
**Bank Charges Claimed or the year 2024-25**

| Particulars | (Rs. lakh) |
|---|---|
| Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd | 3.30 |
| Bank Guarantee to KSEB Ltd | 4.23 |
| **Total** | **7.53** |

57. The licensee has submitted that the claim of Rs.3.30 lakh is towards the bank charges for the letter of credit to KSEB Ltd to secure the monthly power purchase bills. ***Considering the same, the Commission hereby approves the bank charges of Rs.3.30 lakh for letter of credit.***

58. With regard to the bank guarantee provided to KSEB Ltd as per the Orders of Hon. Supreme Court, the Commission in the previous orders has specifically directed the licensee that bank guarantee charges for the above purpose shall

not be included in the allowable expenses. This is because the licensee has filed first appeal against the order of the Commission approving the arrear amount payable to KSEB Ltd. In the first Appeal, Hon. APTEL has upheld the order of the Commission. The licensee has filed second appeal before the Hon. Supreme Court and Hon. Supreme Court in the interim order, directed to provide bank guarantee for the said amount. ***The Commission is of the opinion that pending the outcome of the case before the Hon'ble Supreme Court, this amount shall not be considered at present.***

59. ***Accordingly, the Commission approves only Rs.3.30 lakh, i.e., the Bank Charges on L.C to KSEB Ltd. as part of interest and finance charges.***

## Summary of the interest and finance charges

60. The interest and finance charges approved for the year 2024-25 in the process of truing up is detailed below.

**Table 25**
**Interest & Finance charges approved for the year 2024-25 (Rs. lakh)**

| Particulars | MPR Approved | Truing Up Petition | Trued Up |
|---|---|---|---|
| Interest on Normative Loan | 4.97 | 6.09 | 5.02 |
| Interest on Working Capital | 38.40 | 38.64 | 38.51 |
| Interest on Security deposits | 20.05 | 18.93 | 18.20 |
| Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd | 3.30 | 3.30 | 3.30 |
| Bank Charges on Rs 7.18 Cr Bank Guarantee to KSEB | 0.00 | 4.23 | 0.00 |
| **Total** | **66.72** | **71.19** | **65.03** |

## Other Debits

61. The licensee in form D.4.3 has claimed other debits of Rs.32.36 lakh which include Section 3(1) Duty under the Kerala Electricity Duty Act and periodical inspection charges and provision for doubtful debts. The details of the claim are tabulated below;

**Table 26**
**Details of other debts (Rs. lakh)**

| Particulars | 2022-23 | | 2023-24 | | 2024-25 |
|---|---|---|---|---|---|
| | Truing Up Petition | Trued Up | Truing Up Petition | Trued Up | Truing Up Petition |
| Section 3 Duty | 14.34 | - | 14.83 | - | 24.89 |
| Inspection Charges | 1.22 | 1.22 | 1.29 | 1.29 | 0.33 |
| Provision for doubtful Debt | 2.51 | - | 2.42 | - | 7.14 |
| **Total** | **18.07** | **1.22** | **18.53** | **1.29** | **32.36** |

62. As shown above, the licensee has included Section III duty, inspection charges and provision for doubtful debts under other debits. The Commission has not been admitting Section 3(1) Duty as a revenue expenditure since as per the Kerala Electricity Duty Act, the Electricity Duty under this Section on the sales of energy should be borne by the Licensee and shall not be passed on to the consumers.

63. The Commission has, in its previous orders also, consistently pointed out that the Electricity Duty payable by the licensee under Section 3 (1) of the Kerala Electricity Duty Act cannot be passed on to the consumers and it cannot be admitted as an item of expenditure in the Truing Up Petition. ***Hence, the Commission disallows the licensee's claim of Rs.24.89 lakh as Section 3(1) duty.***

64. With regard to the claim of Rs.7.14 lakh as provision for doubtful debts, the Commission has been disallowing the claim as no amount is written off during the year as Bad debt and the amount claimed is only a provision created for doubtful debts during the year. ***Since the amount is not declared as Bad debt and not written off in the accounts, the Commission hereby disallows the claim.***

65. The licensee has also claimed Rs.0.33 lakh as periodical inspection charges under other debits. The Commission considers the same and approves Rs.0.33 lakh, the periodical inspection charges under other debits. ***Accordingly, the Commission after disallowing the claim under Section 3(1) duty and provision for doubtful debts approves an amount of Rs.0.33 lakh as Other debits for the year 2024-25.***

## Return on Net Fixed Assets

66. The licensee has claimed Return on NFA for the year 2024-25 computed as per Regulation 28 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. As per Regulation 28(2) of the Tariff Regulations 2021, if there is no equity invested in the business or equity invested in the regulated business of the distribution licensee is not clearly identifiable, return at the rate of 5.50% shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business. Accordingly, the licensee has claimed a RoNFA at the rate of 5.50% on the net fixed assets at the beginning of the financial year. The licensee has claimed Rs.5.63 lakh as RoNFA in the petition as against the approved amount of Rs.6.40 lakh and the details are tabulated below:

**Table 27**
**Computation of RONFA claimed for 2024-25 (Rs. lakh)**

| Particulars | Approved MPR | Truing up Claim |
|---|---|---|
| Gross fixed assets as at 1st April 2024 | 453.07 | 453.06 |
| Less: Accumulated depreciation | 267.45 | 269.88 |
| Less: Consumer contribution | 14.96 | 7.89 |
| Less: GFA for which interest is allowed | 54.34 | 73.01 |
| Balance value of Net fixed assets at the beginning of the year | 116.32 | 102.28 |
| Rate of Return | 5.50% | 5.50% |
| **Eligible Return** | **6.40** | **5.63** |

67. The Commission while approving the ARR & ERC for the year 2024-25 had approved Rs.7.03 lakh as RoNFA. In the MPR Order, the Commission had approved revised RoNFA of Rs.6.40 for the year 2024-25. During the control period for 2022-23 to 2026-27, the Commission has allowed the interest charges on a normative basis for the assets added (after deducting depreciation) since the transfer of license, treating the same as fully funded through loans as per the provisions of the Regulations. The Commission had not allowed any additional return in the form of Return on NFA for the entire assets up to 2021-22. However, the Commission noted that the assets additions during the Control period is done by the licensee with approval from the Commission, the licensee is reasonably eligible for finance charges thereon. ***Considering this, the Commission approves Rs.4.90 lakh as RoNFA for the year 2024-25 computed as shown below:***

**Table 28**
**Computation of RoNFA for the year 2024-25**

| Particulars | Rs. Lakh |
|---|---|
| Gross fixed assets as at 1st April 2024 | 438.11 |
| Less: Accumulated depreciation (Rs.241.53 lakh + Rs.12.18 lakh+Rs.13.74 lakh) | 267.45 |
| Less: Consumer contribution | 14.96 |
| Less: NFA for which interest is allowed | 54.86 |
| Less: Asset additions for 2023-24 | 11.80 |
| Balance value of Net fixed assets at the beginning of the year | 89.04 |
| Rate of Return | 5.50% |
| **Eligible Return** | **4.90** |

## Revenue from Sale of Power

68. The licensee has claimed Rs.3707.46 lakh as revenue from sale of power for 491.10 lakh units for the year 2024-25. In the MPR petition the licensee has claimed revenue from sale of power of Rs.3726.46 lakh for the year 2024-25 and the same was approved by the Commission. The average realization for

the year is 7.55 per unit. A comparison of the category wise revenue from sale of power for the years 2023-24 and 2024-25 is as shown below:

**Table 29**
**Revenue from sale of power for 2023-24 and 2024-25**

| Particulars | 2023-24 | | | | 2024-25 | | | |
|---|---|---|---|---|---|---|---|---|
| | No. of Consumers | Sales in lakh units | Total Revenue | Average Realization | No. of Consumers | Sales lakh units | Total Revenue | Average Realization |
| HT IA Industrial | 22 | 334.50 | 2476.51 | 7.40 | 22 | 310.80 | 2,355.94 | 7.58 |
| HT – I B (IT Industrial) | 1 | 0.30 | 3.62 | 12.07 | 1 | 0.70 | 8.60 | 12.29 |
| HT II (Non Ind/Comml) | 3 | 4.40 | 41.50 | 9.43 | 2 | 3.80 | 35.50 | 9.34 |
| HT III Agriculture | 2 | 3.50 | 17.82 | 5.09 | 2 | 3.70 | 19.37 | 5.24 |
| HT IV Commercial | 9 | 20.40 | 190.79 | 9.35 | 9 | 21.50 | 201.47 | 9.37 |
| LT I Domestic | 14536 | 79.30 | 394.05 | 4.97 | 14017 | 81.00 | 422.07 | 5.21 |
| LT IV Industries | 97 | 5.20 | 28.82 | 5.54 | 92 | 4.00 | 30.60 | 7.65 |
| LT V Agriculture | 6 | 0.10 | 0.33 | 3.30 | 6 | 0.20 | 0.65 | 3.25 |
| LT VI Non-Domestic | 981 | 17.80 | 163.97 | 9.21 | 951 | 18.40 | 172.31 | 9.36 |
| LT VII Commercial | 1325 | 38.20 | 380.62 | 9.96 | 1242 | 38.90 | 400.47 | 10.29 |
| LT VIII Public Lighting | 266 | 4.10 | 22.96 | 5.60 | 267 | 4.30 | 24.77 | 5.76 |
| LT TOD Tariff | 4 | 0.10 | 0.57 | 5.70 | 5 | 0.20 | 1.74 | 8.70 |
| LT IX (Public Lighting) | | | | | 1 | 0.00 | 0.11 | - |
| LT X Charging Stations | | | | | 1 | 0.10 | 1.01 | 10.10 |
| LT-IVA-Demand Based | | | | | 1 | 1.80 | 13.10 | 7.28 |
| LT-7A-Demand Based | | | | | 3 | 1.70 | 19.75 | 11.62 |
| **Total** | **17252** | **507.90** | **3721.56** | **7.33** | **16622** | **491.10** | **3,707.46** | **7.55** |

69. The majority of sales pertain to the HT category which consists of 36 consumers. It is seen that there is a decrease in the revenue from sale of power as compared to previous year and MPR claim. The licensee in the petition has stated that the decrease is on account of lower consumption by HT consumers mainly seasonal tea factories. The major revenue is realized from HT I A Industrial category, LT I Domestic & LT VII Commercial categories.

70. The average realization has increased when compared to previous year and the licensee has stated that the increase in average revenue per unit is mainly on account of the increase in Retail Supply Tariff (RST) subsequent to Tariff revisions since the previous year. Also, the variation in the revenue as claimed in the MPR petition and current truing petition is on account of adjustment of units for own power generated and used. ***Considering the details submitted by the licensee, the Commission hereby approves the Revenue from sale of power of Rs.3707.46 lakh as claimed by the licensee for the year 2024-25.***

## Non-Tariff Income

71. The licensee has claimed an amount of Rs.124.07 lakh as non-tariff income. A comparison of the non-tariff income is tabulated hereunder.

**Table 30**
**Details of Non-Tariff income claimed**

| Particulars | 2023-24 | | 2024-25 |
|---|---|---|---|
| | Truing Up Petition | Trued Up | Truing Up Petition |
| Interest on Deposit with KSEB | 17.36 | 17.36 | 18.74 |
| Miscellaneous recoveries | 49.38 | 4.87 | 17.81 |
| Interest on accumulated Surplus | 78.27 | 77.46 | 87.52 |
| Other Operational Income | 9.12 | 9.12 | - |
| Less: Reversal of provision for interest on security deposit from KSEB Ltd being already claimed in regulatory accounts | 44.50 | - | - |
| **Total** | **109.63** | **108.81** | **124.07** |

72. As compared to previous year the non tariff income claimed by the licensee has increased. The licensee has claimed in the MPR Petition, Rs.114.08 lakh as non tariff income for the year 2024-25 and the same was approved by the Commission. Licensee has submitted that the variance in the claim is on account of inclusion of collection charges in truing up claim and adjustment for interest on accumulated surplus due to error in final surplus in the order on truing up of accounts for 2024-25 dated 26.03.2025.

73. Miscellaneous receipts include Rs.2.04 lakh being collection charges for section 4 duty collected for outside customers, Rs.8.30 lakh being interest received on delayed payments and Rs.7.44 lakh being service charges recovered from consumers for various services. ***The Commission hereby approves Rs.17.81 lakh as miscellaneous receipts and Rs.18.74 lakh as interest on deposit with KSEB for the year 2024-25.***

74. The Commission further notes that the licensee has accounted the interest on accumulated surplus as part of the non-tariff income in the Truing Up petition. The cumulative regulatory surplus at the end of the year 2023-24 as per the Truing Up Order dated 26.03.2025 is Rs.1170.18 lakh. The Commission noted that an error has occurred while computing the accumulated surplus for the year 2023-24. The actual accumulated surplus as on 31.03.2024 is Rs.1287.09 lakh (Rs.1150.99 lakh+ Rs.136.10 lakh). The Commission has been approving the notional interest on accumulated revenue surplus at the SBI retail term deposit rate for a tenure up to one year prevailing as on 01.04.2023, which is 6.80%. As per paragraph 39, the asset addition of Rs.1.52 lakh is ordered to be met from accumulated revenue surplus and hence notional interest is applicable only on the balance amount. ***Accordingly,***

***the interest for the accumulated revenue surplus of Rs.1273.77 lakh is Rs.86.62 lakh at the rate of 6.80%.*** Reckoning of notional interest on accumulated revenue surplus is also subject to the final orders of the Hon'ble Supreme Court on the petition filed by the licensee.

**Table 31**
**Non-Tariff Income approved for 2024-25 (Rs lakh)**

| Particulars | 2024-25 | |
|---|---|---|
| | Truing Up Petition | Trued Up |
| Interest on Deposit with KSEB | 18.74 | 18.74 |
| Miscellaneous recoveries | 17.81 | 17.81 |
| Interest on accumulated Surplus | 87.52 | 86.62 |
| **Total** | **124.07** | **123.17** |

## Revenue Surplus/Gap for 2024-25

75. Based on the above, the approved expenditure and revenue for the year 2024-25 after truing up is as shown below.

**Table 32**
**Trued up Income and Expenditure for the Year 2024-25 (Rs. lakh)**

| Particulars | 2024-25 | | |
|---|---|---|---|
| | Revised ARR&ERC Approved | Truing Up petition | Trued Up |
| Power purchase cost | 3491.65 | 3418.52 | 3415.64 |
| Employee Expenses | 182.75 | 233.67 | 203.84 |
| Prior period employee expense | - | - | 27.21 |
| Administration & General Expenses | 15.14 | 23.30 | 17.32 |
| Repair & Maintenance Expenses | 45.83 | 51.17 | 45.89 |
| Depreciation | 13.74 | 14.50 | 12.71 |
| Interest and Finance charges | 66.72 | 71.19 | 65.03 |
| Other debits | 0.33 | 32.36 | 0.33 |
| Return on Net Fixed Assets | 6.40 | 5.63 | 4.90 |
| **Total Expenditure/ARR** | **3822.56** | **3850.34** | **3792.87** |
| Revenue from Sale of Power | 3726.46 | 3707.46 | 3707.46 |
| Other income | 114.08 | 124.07 | 123.17 |
| **Total Income/ERC** | **3840.54** | **3831.53** | **3,830.63** |
| **Revenue (Gap)/Surplus** | **17.98** | **(18.81)** | **37.76** |

## Orders of the Commission

76. The Commission after considering the petition filed by M/s. KDHPCL for Truing up of accounts for the year 2024-25, and details provided by the licensee approves the following.

**a)** ***Total revenue is Rs.3830.63 lakh.***

**b)** ***Total expenditure is Rs.3792.87 lakh.***

**c)** ***The revenue surplus for the year is Rs.37.76 lakh.***

**d)** ***The cumulative revenue surplus till 2024-25 will be Rs.1,338.17 lakh (Rs.1287.09 lakh + Rs.37.76 lakh – Rs.13.32 lakh). The licensee shall keep the surplus arrived at after the truing up process in a separate fund and utilize it as per orders of the Commission.***

77. The petition is disposed of. Ordered accordingly:-

Sd/-

**Sri. T.K Jose**
**Chairman**

Sd/-

**Sri. B. Pradeep**
**Member**

Approved for issue

Sd/-

Rajendran K V
Secretary